

AI in Biz Valuation

Classical
ML

BAV

+
GenAI

What doesn't change

Valuation Theory

DCF, multiples, Cost of capital, terminal value

What does change

↳ How AI Has evolved:
From prompts to agents

Breaks a goal into steps, calls tools and data sources, checks its own output, and keeps going without a prompt for every step

→ Grok bot
→ Cursor

Quality report generated is bad

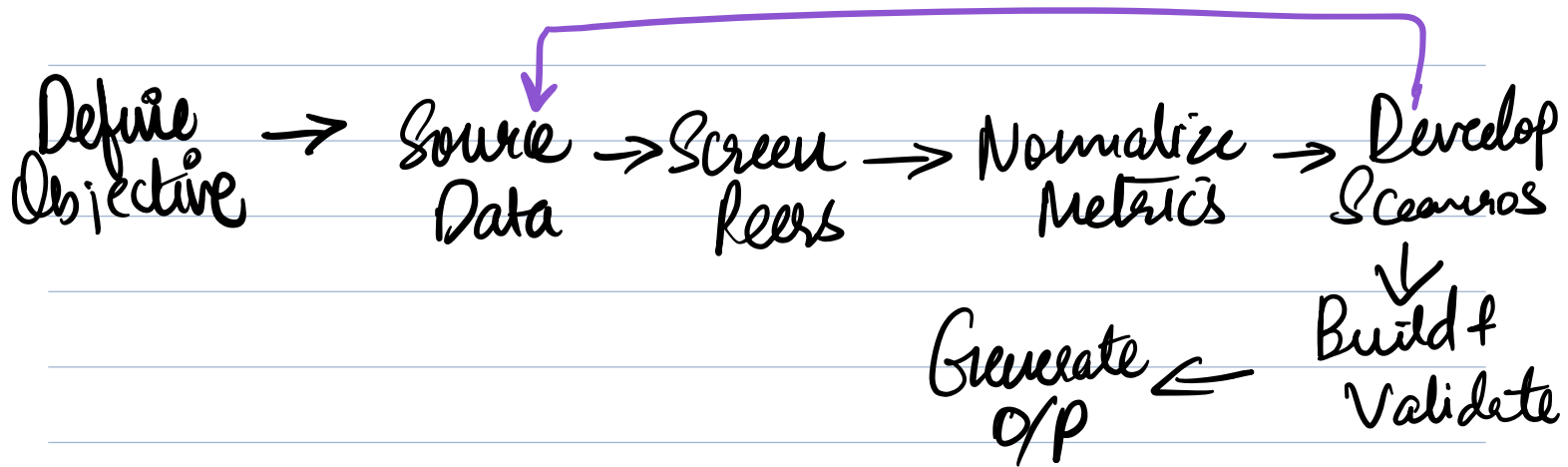
Why it matters for valuation for work

Multi step tasks → sourcing

Be careful, write the python code

→ Helps in validating the logic

→ Use AI to get the data, use your own modelling



Steps run largely on their own

GIROK BOT → 1 week

How to find peers? (HERMES) not sure

Warren AI

↳ Finding peers for Maruti

Prompt: Find peer

Cluster Analysis: You valuing companies, which companies have behaved similarly
↳ In the last

'Hello World'

Alphabet's EPS

Q2 2026 diluted EPS 9.11 (GAAP)

\$99B: unrealized gains, SpaceX + Anthropic stakes

Adjusted EPS: \$2.85 → missed \$2.89 consensus

Akanksha Jain

Akanksha

Akanksha

Ar

Akanksha

Annual Run rate $\rightarrow$ ARR

Run rate: $\rightarrow$ annualizes the most recent period's revenue (latest month $\times 12$) to project a full year revenue $\rightarrow$ not actual trailing revenue

Sourcing data

$\hookrightarrow$ NSE, BSE, SEBI

Company published reports

'Pandas'

$\hookrightarrow$ Bot python bot accessing the data

Annual report XBRL $\rightarrow$ Excel

Data will get converted to Excel

Forecasting Revenue: Don't just grow last year's

Naïve method: last year revenue $\times (1 + \text{growth rate})$

Break revenue into real components first

API & cloud $\Rightarrow$ Claude code $\rightarrow$ Enterprise $\rightarrow$ Consumer $\rightarrow$ Other

Spend sometime here, try to find out what drives value

$\hookrightarrow$ Break it down the company into value drivers

Questions to ask while projecting revenue

$\rightarrow$ Model pricing, efficiency gains 'Plantio'
 $\rightarrow$ Price per million tokens

'Supply chain risk' $\rightarrow$ [3000T tokens consumed]

ARPU growth

What is best case, bull case & bear case?

Cost of Capital range }
is quite wide

Wish

Created a new scenarios [GPU shortage]
defines

Each scenario

New models it created

↳ Whatever cost they have incurred

⇒ Revenue is coming from models in the market
but expenses are coming from models in development

Data centre is yet to be operational → how is
this treated → (this asset is yet to be
generated)

Therefore, it is disclosed in notes, not in statements

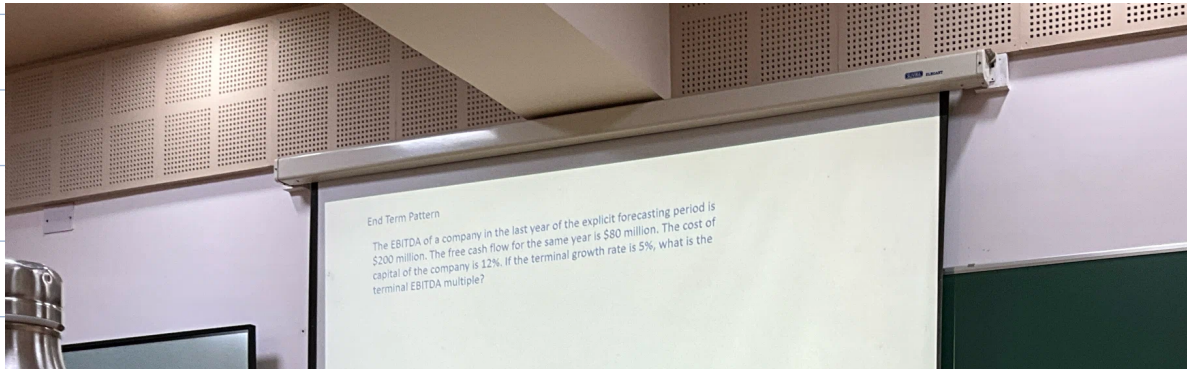
Amazon discloses it in BS

Maurit's Business

Small, SUV, Premium
Audit before

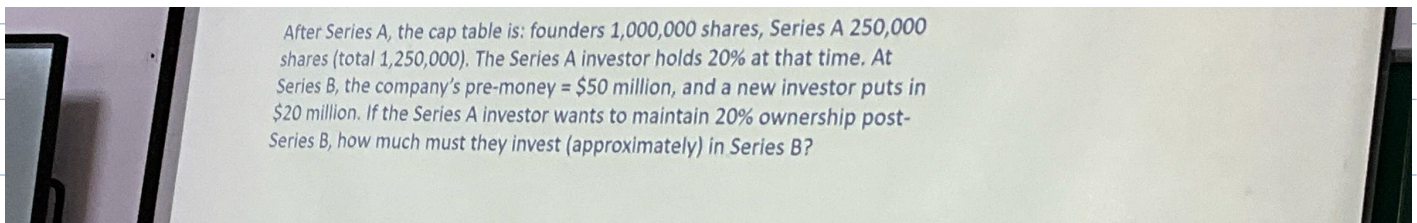
End term

↳ MCBs



$$\frac{80(1+g)}{12\% - 5\%} = TV \quad TV =$$
$$\frac{\quad}{200} \Rightarrow \text{answer}$$

$$\rightarrow \frac{80(1.05)}{12\% - 5\%} / 200$$



9. An analyst regressed the PE ratio of 10 companies of a sector on their projected growth rate on EPS and got the following regression equation. The figures in the bracket are the t-statistics.

$$\frac{\bar{P}}{\bar{E}} = 16.38 + 1.2 \times \bar{g}_{EPS}$$

(3.24) (0.8)

Which of the following is the most likely interpretation of these regression results?

- a) The return on equity of an average company in the industry is lower than the required rate of return.
- b) Companies with a higher projected growth rate in EPS do necessarily trade at a higher PE ratio.
- c) Factors other than growth rate in EPS have no impact on the PE ratio of the companies.
- d) None of the above.

$$\frac{+4 - 1}{\quad}$$

$$\frac{16.38}{3.24} = 5$$

$$\frac{112}{0.8} = 140$$

Growth in EPS, has
no correlation at
Abs value
PE ratio

→ Real options valuation
→ M&A valuation